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SUPERIOR COURT OF THE STATE OF CALIFORNIA
COUNTY OF TULARE – VISALIA COUNTY CIVIC CENTER

SALVADOR GUZMAN, an individual,
Plaintiff,
vs.

CITY OF LINDSAY, a public entity, and
DOES 1 through 20, inclusive,
Defendants.

Case No. VCU307086

Judge: Hon. Bret D. Hillman
Dept.: 2

**PLAINTIFF SALVADOR GUZMAN'S
OPPOSITION TO DEFENDANT CITY OF
LINDSAY'S DEMURRER TO
PLAINTIFF'S COMPLAINT**

**[Filed concurrently with Declaration of Arin
Norijanian]**

Date: June 11, 2024
Time: 8:30 a.m.
Dept.: 02

Complaint filed: March 19, 2024
Trial date: Not Set



Plaintiff Salvador Guzman (“Plaintiff” or “Guzman”) hereby submits the following Memorandum of Points and Authorities in Opposition to Defendant City of Lindsay’s (“Defendant” or “City”) Demurrer to the Complaint.

I. INTRODUCTION

This is a whistleblower retaliation case. The City employed Plaintiff as their Director of Finance, Head of the City’s Finance Department, until it wrongfully terminated him on January 4, 2024 after he blew the whistle on the City’s illegal activities. On March 19, 2024, Plaintiff filed his Complaint for wrongful termination alleging a single cause of action of whistleblower retaliation pursuant to Labor Code section 1102.5 against the City. Defendant filed a demurrer in response.

In its demurrer, Defendant’s sole contention is that under Labor Code § 2699.3, Plaintiff should have exhausted his administrative remedies with the California Labor and Workforce Development Agency (“LWDA”) prior to filing a lawsuit for whistleblower retaliation under Labor Code § 1102.5. Defendant is misplaced. As explained below, however, the exhaustion requirements of Labor Code § 2699.3 **only apply to** actions brought pursuant to the Private Attorney General Act of 2004 (Lab. Code § 2698, et seq. (“PAGA”). No PAGA cause of action has been alleged in this case and as such, Plaintiff need not have exhausted any administrative remedy with the LWDA prior to filing suit. Plaintiff was free to sue directly under the Labor Code § 1102.5 and need not have complied with PAGA’s exhaustion requirements. Defendant’s demurrer is, therefore, totally and completely without merit and must be denied.¹ Additionally, Defendant failed to properly meet and confer pursuant to CCP § 430.41(a) prior to filing its

¹ Moreover, Defendant’s contentions are frivolous, not warranted by law, and constitute an intentional misrepresentation of law to this Court. Any reasonable attorney would understand that – not Defendant’s counsel, however. This is so despite Plaintiff’s counsel’s repeated efforts to explain to Defendant and its counsel that their position is frivolous and baseless. As such, Plaintiff has served a Motion for Sanctions pursuant to CCP §§ 128.5 and 128.7 in response to the demurrer, which is currently scheduled to be heard on July 9, 2024. Declaration of Arin Norijanian (“Norijanian decl.”) ¶13. The Motion will not be filed with the Court until the “safe harbor” period has elapsed on June 7, 2024 without the demurrer being withdrawn. Id. In the Motion for Sanctions, Plaintiff requests the Court to strike the frivolous demurrer from the record, reprimand Defendant’s counsel Megan N. Crouch for signing and filing the frivolous demurrer, and impose monetary sanctions in the amount of \$14,250 jointly and severally on Defendant and its counsel. Id.

demurrer and thus, the demurrer should be denied on that ground alone.

II. PLAINTIFF'S ALLEGATIONS

The City employed Plaintiff as their Director of Finance, Head of the City's Finance Department, from August 8, 2023 to January 4, 2024. Complaint ¶2. Shortly after starting his employment with the City, Plaintiff discovered suspicious activity by the City Manager, Joseph Tanner, and by the City Services Director, Neyba Amezcua and began blowing the whistle on their numerous violations of local, state and federal laws. Complaint ¶16.

For example, in November 2023, Plaintiff discovered that the City Manager was taking vacations without reporting the time off and then subsequently cashing out the vacation days as if he had not taken the time off. Complaint ¶31-33. Plaintiff discovered that the City Manager had cashed out an estimated \$37,000. Believing this to be a misuse of government funds, Plaintiff reported the illegal conduct to the City's Chief of Police who then forwarded the complaint to the City Council. *Id.* Plaintiff also blew the whistle on other illegal acts the City's staff was engaged in such as not properly reporting the use of fringe benefits to the IRS, charging personal items on the City's credit cards, using gas cards for personal use, and unjustified pay raises. *Id.* ¶16-41. On January 4, 2024, shortly after reporting the illegal activities, the City terminated Plaintiff's employment. *Id.* ¶42-43. Plaintiff believed he was wrongfully terminated in retaliation for his reporting of illegal conduct by City Staff. *Id.* ¶43.

On February 27, 2024, Plaintiff filed a Government Tort Claim with the City providing notice of his intent to file a lawsuit for retaliation in violation of California Labor Code section 1102.5. Complaint ¶13.

On March 12, 2024, the City rejected Plaintiff's Tort Claim. Complaint ¶14.

On March 19, 2024, Plaintiff filed his Complaint for wrongful termination. Norjianian decl. ¶6. In the Complaint, Plaintiff alleges a single cause of action of whistleblower retaliation pursuant to Labor Code section 1102.5 against the City. Complaint ¶¶ 45-63. In the prayer for damages, Plaintiff is seeking compensatory damages, emotional distress damages, damages for past and future loss of earnings, attorney fees and costs, interest and other relief as this Court deems proper. Complaint, 14:22-15:9. Plaintiff has not pled a PAGA cause of action nor is he

1 seeking recovery of any civil penalties. See Complaint, 2:1-15:9.

2 **III. DEFENDANT FAILED TO PROPERLY MEET AND CONFER PRIOR TO**
3 **FILING ITS DEMURRER**

4 On April 24, 2024, the City's attorney, Megan N. Crouch, sent a letter to Plaintiff's
5 counsel stating that Defendant intended to file a demurrer to the Complaint. Norjianian decl. ¶7;
6 **EXHIBIT "1."** Ms. Crouch claimed that Plaintiff's Labor Code section 1102.5 retaliation claim
7 was subject to the exhaustion requirements of the Labor Code Private Attorney General Act of
8 2004 ("PAGA"), Labor Code § 2698, *et seq.* Id. Ms. Crouch claimed that because Labor Code §
9 2699.5 lists section 1102.5 as one of the labor code violations that a PAGA lawsuit can be based
10 upon, then PAGA exhaustion requirements must apply for all 1102.5 claims. Id.

11 On the same day, Plaintiff's counsel provided Ms. Crouch with clear and unambiguous
12 legal authorities explaining that Section 1102.5 retaliation claims are not subject to the PAGA
13 exhaustion requirements. Norjianian decl. ¶8; **EXHIBIT "2,"** batestamp ("bs") 2. Specifically,
14 Ms. Crouch was informed that:

15 it has been black letter since at least 2014 that no exhaustion is required:
16 [p]ursuant to Lab.C §244(a), '[a]n individual is not required to exhaust
17 administrative remedies or procedures in order to bring a civil action' under
18 the Labor Code, 'unless that section under which the action is brought
19 expressly requires exhaustion of an administrative remedy.' Section 1102.5
20 contains no such express requirement. See, e.g., The Rutter Group, Cal.
Prac. Guide Civ. Pro. Trial Claims and Def. Ch. 13(V) §13:928; Lopez v.
Smith Detection, Inc. (S.D. Cal. Jan 26, 2021, No. 20-CV-1453 JLS (WVG)
2021 WL 254231, at *8. Id.

21 Id. Ms. Crouch was also informed that the exhaustion requirements of Labor Code §
22 2699.3 apply only if you are bringing a PAGA claim and that no PAGA claim had been alleged in
23 this case. Id.

24 On May 3, 2024, Ms. Crouch emailed and stated that despite the authorities provided, they
25 were going to file the demurrer. Norjianian decl. ¶9; **EXHIBIT "3,"** bs. 10. Plaintiff's counsel
26 replied in two separate emails and requested to meet and confer by telephone, as required by
27 C.C.P. § 430.41(a) and asked to speak immediately. Id. at bs. 7-9. There was no immediate
28 response to this email and no telephone call ever took place. Norjianian decl. ¶9.

Plaintiff’s counsel also reached out to the partner on the matter, Mario Zamora, and again requested a telephone call. Norijanian decl. ¶10, **EXHIBIT “3,”** at bs. 7. Plaintiff’s counsel explained that Ms. Crouch’s demurrer amounted to sanctionable conduct as she was provided with authorities placing her on notice that the demurrer was not warranted by law. *Id.* Plaintiff’s counsel again requested to meet and confer by telephone in the hope to avoid unnecessary motion practice. *Id.* Mr. Zamora instead directed Plaintiff’s counsel to Ms. Crouch. *Id.*

On May 3, 2024, the City served and filed the demurrer. Norijanian decl. ¶11. Despite Plaintiff’s counsel’s repeated requests for a telephone conference as required pursuant to CCP § 430.41(a), no telephone conference took place and Defendant filed its frivolous demurer without properly meeting and conferring. *Id.*

Defendant’s sole contention on demurrer is that Plaintiff’s whistleblower retaliation claim under section 1102.5 is subject to the exhaustion requirements of the PAGA statute. Demurrer, 1:19-5:12. After receiving the demurrer, on May 6, 2024, Plaintiff’s counsel again emailed and explained to Ms. Crouch that retaliation claims under Labor Code section 1102.5 are not subject to PAGA exhaustion rules. Norijanian decl. ¶12; **EXHIBIT “4,”** bs 12. Plaintiff’s counsel even provided a sample complaint with a PAGA claim that would be subject to PAGA exhaustion rules as an example. *Id.*

IV. **ARGUMENT**

A. **Defendant’s Demurrer Must Be Denied As It Contains Frivolous Contentions Not Warranted By Existing Law**

i. **PAGA History and Overview**

Since 2004, the PAGA has deputized “aggrieved employees” to bring representative lawsuits seeking civil penalties on behalf of the state to enforce labor laws. *Howitson v. Evans Hotels, LLC* (2022) 81 Cal.App.5th 475, 484. The **PAGA is not an exclusive remedy for employees** – it is simply an alternative private attorney general system for labor law enforcement. *Dunlap v. Superior Court* (2006) 142 Cal.App.4th 330, 336 (emphasis added). “...Section 2699 states in pertinent part at subdivision (g)(1): ‘Nothing in this part [i.e., the PAG Act] *shall operate to limit an employee’s right to pursue or recover other remedies* available under state or federal

law, either separately or concurrently with an action taken under this part.” *Id.* (emphasis in original). In other words, the PAGA statute gives employees the *option*, if they so choose, to sue on behalf of the state for civil penalties for violation of one of the provisions specifically listed in Labor Code § 2699.5. The Rutter Group, J. Civil Penalties (Labor Code Private Attorneys General Act) (PAGA), Cal. Prac. Guide Employment Litigation Ch. 17-J § 17:810 (internal citations omitted); *Dunlap*, at p. 339.

If the employee chooses to bring a PAGA lawsuit, the employee must comply with PAGA’s administrative exhaustion requirements provided in Labor Code § 2699.3(a). PAGA’s administrative exhaustion requirements **only apply to PAGA actions under Labor Code § 2699 to recover civil penalties** for alleged violations of Labor Code provisions listed in section 2699.5. *Dunlap, supra*, at p. 340; The Rutter Group, J. Civil Penalties (Labor Code Private Attorneys General Act) (PAGA), Cal. Prac. Guide Employment Litigation Ch. 17-J § 17:810. (internal citations omitted) (emphasis added). As such, **PAGA’s exhaustion requirements do not apply to other actions** for violation of the Labor Code, such as claims for overtime pay, meal and rest break violations and more importantly, whistleblower retaliation as alleged herein. *Dunlap*, at pp. 336-39 (emphasis added). Thus, if the employees choose not to bring a PAGA action under 2699.3, then they need not comply with PAGA’s exhaustion requirements. *Id.* In conclusion, PAGA’s administrative exhaustion prerequisites do not apply to non-PAGA actions, such as direct claims pursuant to Labor Code § 1102.5. *Id.* at p. 339.

i. **Employees Can Directly Sue Their Employer for Whistleblower Retaliation Under Labor Code § 1102.5 Without Exhaustion of Administrative Remedies**

“Labor Code § 1102.5 provides whistleblower protections to employees who disclose wrongdoing to authorities.” *Lawson v. PPG Architectural Finishes, Inc.* (2022) 12 Cal.5th 703, 709. As the California Supreme Court explained,

As relevant here, section 1102.5 prohibits an employer from retaliating against an employee for sharing information the employee “has reasonable cause to believe ... discloses a violation of state or federal statute” or of “a local, state, or federal rule or regulation” with a government agency, with a person with authority over the employee, or with another employee who has



authority to investigate or correct the violation.

Id. “An employee injured by prohibited retaliation may file a private suit for damages.” Id. (Citing Lab. Code, § 1105 and Gardenhire v. Housing Authority (2000) 85 Cal.App.4th 236, 241) (emphasis added). In a civil action for retaliation pursuant to Labor Code § 1102.5, the Plaintiff is entitled to “all forms of relief granted to civil litigants generally,” including economic and non-economic damages for harm caused by the termination. Mathews v. Happy Valley Conference Center, Inc. (2019) 43 Cal.App.5th 236, 266–268.

Moreover, “[p]ursuant to Lab.C. § 244(a), ‘[a]n individual is not required to exhaust administrative remedies or procedures in order to bring a civil action’ under the Labor Code, ‘unless that section under which the action is brought expressly requires exhaustion of an administrative remedy.’ Section 1102.5 contains no such express requirement.” The Rutter Group, A. Introduction, Cal. Prac. Guide Civ. Pro. Trial Claims and Def. Ch. 13(V)-A; § 13:928. Under Labor Code § 244(a), an employee suing for retaliation pursuant to Labor Code § 1102.5 is not required to exhaust an administrative remedy before filing suit. Satyadi v. West Contra Costa Healthcare Dist. (2014) 232 Cal.App.4th 1022, 1032-33; Lopez v. Smiths Detection, Inc. (S.D. Cal., Jan. 26, 2021, No. 20-CV-1453 JLS (WVG)) 2021 WL 254231, at *8. Therefore, an employee injured by prohibited retaliation may file a private suit for damages against their former employer under Labor Code § 1102.5 without exhaustion of any administrative remedies.²

B. Defendant’s Contention that Plaintiff Failed To Exhaust His Administrative Remedies Under Labor Code Section 2699.3 Before Filing Suit For Retaliation Under Labor Code 1102.5 Is Not Warranted By Existing Law

In its demurrer, Defendant contends that under Labor Code § 2699.3, Plaintiff should have exhausted his administrative remedies with the LWDA prior to filing a lawsuit for whistleblower retaliation under Labor Code § 1102.5. Demurrer, P&As, 4:15-5:12. Defendant’s contentions are

² Although not relevant herein, for purposes of clarity, the California Government Claims Act requires government employees to submit tort claims to their government employer and proceed with the lawsuit after the appropriate time and action taken by the government entity. See Gov. Code §§ 810 et seq, 945.4, 950.2, 912.4. Plaintiff complied with the Government Claims Act and properly alleged exhaustion of those remedies at paragraphs 12 to 14 of his Complaint.



frivolous and not warranted by law. As explained above, the exhaustion requirements of Labor Code § 2699.3 **only apply** to PAGA actions under Labor Code § 2699 to recover civil penalties. The PAGA prerequisites to suit **do not apply** to non-PAGA claims, such as a direct claim for whistleblower retaliation under Labor Code § 1102.5 as alleged herein.

In the instant case, Plaintiff has alleged in a single cause of action for whistleblower retaliation pursuant to Labor Code § 1102.5. In the prayer for damages, Plaintiff is seeking compensatory damages, emotional distress damages, damages for past and future loss of earnings, attorney fees and costs, interest and other relief as this Court deems proper. Complaint, 14:22-15:9. Plaintiff has not pled a PAGA cause of action nor is he seeking recovery of any civil penalties. See Complaint, 2:1-15:9. Plaintiff has not pled his retaliation claim under the PAGA. *Id.* As such, PAGA's administrative exhaustion rules do not apply to this case as Plaintiff has not pled a PAGA cause of action nor is he seeking the recovery of civil penalties pursuant to Labor Code § 2699.

Defendant's demurrer is devoid of any legal authorities in support for its contention that all retaliation claims under Labor Code § 1102.5 must be exhausted pursuant to the PAGA. Defendant fails to cite to a single case or statute to support its contention. The reason: Defendant's contention is not supported by existing law and constitutes an intentional misrepresentation of law to this Court. In one single sentence in its demurrer, Defendant contends that Plaintiff should have exhausted administrative remedies under PAGA because Labor Code § 1102.5 is listed in Labor Code § 2699.5. Demurrer, P&As, 4:15-5:12. Defendant is gravely misplaced.

As clearly explained above and to Defendant's counsel prior to them demurring, Labor Code § 2699.5 simply enumerates the Labor Code sections that a PAGA action may be premised upon. *Dunlap, supra*, at 339-40. Listing Labor Code sections in Labor Code § 2699.5 does not mean, as Defendant contends, that plaintiffs suing for violations of those enumerated labor code sections must comply with PAGA exhaustion requirements in all instances. What it means is that plaintiffs may bring PAGA actions for a violations of those enumerated labor code sections, such as Labor Code 1102.5, if they want to. The Plaintiff in this case did **not** assert his retaliation claim under the PAGA, however. He instead sued directly under Labor Code § 1102.5 as he had the

private right to do so. See Lawson, *supra*, 12 Cal.5th at 709. As such, the Plaintiff in this case sued directly under Labor Code § 1102.5 and did not need to comply with PAGA's exhaustion requirements. Defendant's demurrer is, therefore, totally and completely without merit.

C. **The Demurrer Must Also Be Denied As Defendant Failed To Properly Meet And Confer Prior To Filing Its Demurrer Pursuant To CCP § 430.41**

Under CCP § 430.41(a), the demurring party (i.e. Defendant's counsel) must meet and confer in person, by telephone or by video conference with Plaintiff's counsel prior to filing its demurrer. Here, despite Plaintiff's counsel repeated requests for a telephone call, Defendant's counsel failed to comply with CCP § 430.41(a) and no telephone conference ever took place prior to the demurrer being filed. Norijanian decl. ¶¶9-11. As such, Defendant filed its frivolous demurrer without properly meeting and conferring. Id.

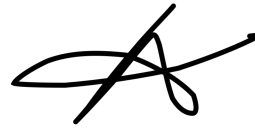
V. **CONCLUSION**

For the foregoing reasons, Plaintiff respectfully requests that the Court overrule Defendant's demurrer.

Dated: May 29, 2024

ARIN | JAMES LLP

By:



ARIN NORIJANIAN
JAMES H. DEMERJIAN
Attorneys for Plaintiff, SALVADOR GUZMAN